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'CYNICAL NARRATIVE BEING GENERATED... INDIA CANNOT AFFORD FEAR-MONGERING'

Sitharaman flags '3F' concerns: Fuel, fertiliser, foreign exchange

Says 'unimaginable' hike in fertiliser prices, high crude and gold prices creating 'challenges on external front'

Akash Mandal & Siddharth Upasani
Mumbai, New Delhi, May 25

UNDERLINING PRIME Minister Narendra Modi's call earlier this month to conserve foreign exchange, Finance Minister Nirmala Sitharaman on Monday emphasised the importance of "three Fs: fuel, fertiliser and foreign exchange".

Taking on critics of the Indian economy amid the ongoing West Asia crisis, Sitharaman said the naysayers were creating a "cynical narrative". Not only is this wrong, but it is also "fear-mongering" and "India cannot afford fear-mongering", she said.

Sitharaman was speaking at the 37th foundation day event of the Small Industries

»CONTINUED ON PAGE 2

Business as Usual
By EP UNNY

E. EXPLAINED

Fertiliser & forex

In 2025-26, India imported 28.2 million tonnes of fertilisers worth $14 billion. But the actual figure, inclusive of the value of imported inputs such as natural gas and ammonia, was over $27 billion and could soar even higher in the current fiscal. REPORT, PAGE 8

INSIDE PAGES 9, 13

SHOULD RBI DEFEND RUPEE, OR LET IT FALL?

GOVT DIALS STATES TO WATCH SUPPLY AT OMC PUMPS

Four hikes in 11 days: Petrol, diesel prices now up by over Rs 7/litre

OMC losses down, but still about Rs 600 cr/day

Sukalp Sharma
New Delhi, May 25

AFTER HOLDING retail fuel prices for over two-and-a-half months amid the surge in global rates due to the West Asia crisis, public sector oil marketing companies (OMCs) have hiked the prices of petrol and diesel by over Rs 7 per litre in less than two weeks.

While seemingly steep, the cumulative price increase so far — done through four hikes — has been the lowest among

»CONTINUED ON PAGE 2

• RISING PRICES

	Retail price (₹/litre)		Price hike (₹/litre)	
	Petrol	Diesel	Petrol	Diesel
May 25	102.12	95.2	2.61	2.71
May 23	99.51	92.49	0.87	0.91
May 19	98.64	91.58	0.87	0.91
May 15	97.77	90.67	3	3

Petroleum Planning & Analysis Cell; Delhi prices

Padma Vibhushan for Dharmendra

President Droupadi Murmu with BJP MP and actor Hema Malini, who received the Padma Vibhushan on behalf of her late husband, actor Dharmendra, at Rashtrapati Bhavan, Monday. PTI; PAGE 7

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Please Try To Read This Completely in 40 Minutes If You Can't So Then You Have To Increase Your Efforts
All the topics of this UPSC IAS Edition are directly or indirectly important for the prelims & main examination. There are some topics which can be coded in answer writing of other topics in the main exam.

The Second Page

[FROM PAGE 1 | FULL REPORTS ON WWW.INDIANEXPRESS.COM]

Sitharaman flags '3F'

Development Bank of India (SIDBI) in Mumbai.

She said Modi's appeals must be understood in the right context. "We should please understand the context of these three Fs: fuel, fertiliser and foreign exchange. And the foreign exchange, in this context, is the purchase of gold. So, we need to understand this and we should also appreciate that the challenges are more externally driven. We must also recognise that India's domestic economic situation remains positive and resilient even today," she said.

She said that high and volatile international crude oil prices, along with an "unimaginable" increase in fertiliser prices and high gold prices, were creating "some challenges on the external front".

However, she said, India remains a robust economy. She added that the "naysayers" who say that "it's all falling down, it's crumbling" were those who want to "decry the achievements of our own people".

"And therefore, ... all the good that is being done by the common people themselves, that is forgotten, and a pessimistic, cynical narrative is generated, which is just not right. It's not right is one thing, but it is wrong because it is fear-mongering. India cannot afford fear-mongering. We need to give confidence to the people with our words and with our actions, and that's what you're seeing at various levels," the Finance Minister said.

Earlier this month, Modi urged the public to change their consumption behaviour by reviving Covid-era measures such as work-from-home and virtual meetings, avoiding non-essential foreign travel and gold purchases for a year, and prioritising local goods, among others. These actions would help save the country's foreign exchange reserves as most of these activities and purchases require import.

Since then, the government has announced a host of measures to stem the rupee's fall. Plagued by continued foreign fund outflows from the domestic financial markets -- Foreign Portfolio Investors have dumped Indian bonds and stocks worth $24.4 billion since the war began in late February -- and weak net Foreign Direct Investment inflows, the rupee has slumped by nearly 5% since February 27 and almost breached the 97-per-dollar mark last week.

Since then, it has gained some ground and closed at 95.23-per-dollar on Monday, with the Reserve Bank of India (RBI) said to have intervened heavily in the last few days to stop the rupee from falling further. This has taken a heavy toll on the RBI's forex reserves. As on May 15, the reserves were down around $40 billion compared to pre-war levels. Further, the RBI's gross forex sales of $29.6 billion in March was the highest in 13 months and occurred even as net FDI during the month was in positive territory for the second month running.

Meanwhile, some of the measures taken by the government to save forex include a sharp hike in the import duty on gold, silver and platinum; restrictions on duty-free gold imports under a key export scheme; and four price hikes for petrol and diesel sold at retail pumps.

As the rupee repeatedly touches new all-time lows, economists have warned that India faces a Balance of Payments deficit for the third straight year in 2026-27. With inflation likely to increase in the coming months due to the energy shock, and growth predicted to take a hit, experts have warned that India faces a crisis.

The RBI's latest forecast, made in early April, pegs India's GDP growth in 2026-27 at 6.9%. However, economists have been warning over the last month or so that growth this year could be closer to 6-6.5%. The central bank's Monetary Policy Committee, which will meet on June 3-5, cut the policy repo rate by 125 basis points to 5.25% in 2025 and has not made any changes to it so far in 2026. But some economists are increasingly seeing the possibility of an interest rate hike as early as next month due to the upside risks to inflation from the elevated global crude oil prices and the rapidly weakening rupee.

Petrol, diesel now up by over Rs 7 per litre

major economies globally and pump prices in India are still among the lowest in the world, except for countries that heavily subsidise fuel prices, according to industry sources.

Prior to these price increases, the OMCs were incurring cumulative daily under-recoveries of about Rs 1,000 crore on petrol, diesel and liquefied petroleum gas (LPG) sold to households. Although domestic LPG prices have not been hiked since early March, the increase in petrol and diesel prices has reduced the losses to under Rs 600 crore per day now, Petroleum Ministry Joint Secretary Sujata Sharma said Monday. She didn't comment on how much fuel prices could be increased going forward.

In the latest revision, the price of petrol was hiked by Rs 2.61 to Rs 102.12 per litre in Delhi, while diesel price went up by Rs 2.71 to Rs 95.20 per litre, with corresponding changes in other parts of the country.

Fuel prices vary across India due to differences in state-level levies. Since May 15, when the first fuel price hike in over four years was announced, petrol price has gone up by Rs 7.35 per litre, while diesel is up by Rs 7.53 per litre in Delhi, an increase of 7.7% and 8.6%, respectively.

According to industry sources and analysts, the quantum of price hikes effected so far will ease the pressure on the OMCs —Indian Oil, Bharat Petroleum and Hindustan Petroleum — although they are still retailing petrol and diesel below the market price. More calibrated and staggered price hikes cannot be ruled out yet.

Prashant Vasisht, senior vice president and co-group head, corporate ratings, ICRA, said the OMCs' losses despite the four rounds of hikes remain "unsustainable". "The under-recoveries of oil marketing companies remain stubbornly high due to increasing losses in domestic LPG sales, and high premium to the crude marker. ICRA estimates that at crude price of $120-125/barrel and considering past 10-year average crack spreads of auto fuels, oil marketing companies are incurring a loss of about Rs 700-800 crore daily on the sale of auto fuels and domestic LPG, even after factoring the fuel price hike. This high level of under-recoveries is unsustainable," he said.

Global crude oil prices have surged by over 50% due to the West Asia war, which broke out on February 28, and the consequent closure of the Strait of Hormuz. But in a bid to insulate domestic consumers, the government-owned OMCs hadn't passed on the higher rates for retail petrol and diesel until May 15. In fact, the prices of the two auto fuels had not been increased for four years; they were reduced once during the period -- before the 2024 Lok Sabha polls.

Discussions on an increase in petrol and diesel prices had gathered pace within the government, with a consensus that it was necessary. The key considerations were the timing and the quantum: whether to announce a steep hike in one go or adopt a staggered approach, according to a top government official. Evidently, a staggered approach was chosen.

A one-shot steep price increase wouldn't have been politically palatable, and would have had a shock factor to it, industry sources said. Calibrated price hikes give the government the opportunity to pass on the higher prices to consumers gradually, while keeping a tab on the public reaction and the inflationary impact on an ongoing basis, instead of the inflationary shock and backlash that a steep hike may lead to.

According to industry sources, fuel prices in India continue to be among the lowest in the world, with every major developed economy retailing petrol at prices translating to over Rs 150 per litre in rupee terms. The average for the European Union countries is Rs 179 per litre of petrol and Rs 184 per litre of diesel. Most of India's neighbouring countries are also selling fuels at higher prices, with petrol retailing at over Rs 135 per litre in Pakistan, Myanmar, Nepal and Sri Lanka, and diesel at Rs 125 or more. As per their estimation, the global weighted average of increases amid the West Asia crisis is 22.4% for petrol and 27% for diesel.

"India, therefore, prices petrol and diesel at or below most of the developing world and at roughly half the European pump, while still raising (prices) less than any non-subsidising peer through the present disruption. Every other major importing economy has passed on the cost to its consumers…India has not. The Indian revision of just over Rs 7 a litre… is the smallest material upward movement of any major economy outside the directly subsidising Gulf producers," said a source.

The Indian crude oil basket, which averaged $70 per barrel last year, averaged over $114 in April; in May, it has averaged at about $108 per barrel so far. Refiners are incurring high additional costs due to emergency sourcing from the spot market and surging shipping and insurance rates. Oil imports in 2025-26 stood at about $135 billion. If oil prices sustain at $100 in the current fiscal and import volumes don't fall, the oil import bill could be upwards of $200 billion for the year.

The crisis has put the OMCs under severe financial stress. On May 12, Petroleum Minister Hardeep Singh Puri had said that the combined losses of the three refiners-cum-fuel retailers were projected at Rs 1 lakh crore in the April-June quarter if prices stayed where they were, enough to wipe out their collective profits for the entire 2025-26 (FY26).

Before hiking retail fuel prices, the government had slashed excise duty by Rs 10 per litre on petrol and diesel late March to blunt the impact of high international prices on the OMCs, but the retailers continue to bleed. The excise duty cut has resulted in the government foregoing revenue of about Rs 14,000 crore a month.

Live-in rules, polygamy ban: Assam introduces UCC Bill

Sukrita Baruah
Guwahati, May 25

LESS THAN two weeks after the second Himanta Biswa Sarma-led NDA government took oath in Assam, it has introduced a Uniform Civil Code Bill for the state, following the templates of those in Uttarakhand and Gujarat, including compulsory registration of live-in relationships and penal provisions for non-compliance.

The 154-page Bill introduced Monday drew criticism from opposition parties Congress, Raijor Dal and TMC, which demanded wider consultations before it was tabled. It will come up for discussion and consideration later this week.

Assam CM Himanta Biswa Sarma meets Bhutan PM Tshering Tobgay on Monday. A minister said the visit is expected to open new avenues of goodwill between Assam and Bhutan. PTI

The Bill states that its aim is to "govern and regulate the laws relating to marriage and divorce, succession, live-in relationships, and for matters connected therewith or incidental thereto". It states that the proposed legislation will extend to the whole of Assam and "applies to residents of Assam who reside outside the territories to which the code extends." However, it exempts Scheduled Tribes, whose population in Assam stood at 12.44% in the 2011 Census.

Over the last few years, the NDA government has enacted multiple legislations relating to marriage, including the Assam Prohibition of Polygamy Act 2025 and the Compulsory Registration of Muslim Marriages and Divorces Act 2024. The UCC Bill seeks to build on these by setting out conditions for marriage, including that the man must be at least 21 years old and the woman 18. It also requires that neither party has a spouse living at the time of marriage, and that neither is party to a marriage that has not yet been dissolved or annulled by a decree of divorce. It also requires that "neither party has given consent to the marriage by force, coercion, deception or fraud"; and that the parties are not "within the degrees of prohibited relationship". The Bill lists 37 such 'prohibited relationships' — including first cousins.

The draft law seeks to mandate the registration of all marriages, where at least one of the parties is a resident of the state, with an appointed sub-registrar within 60 days of the marriage. Similarly, it seeks to mandate the registration of all divorces within 60 days of the decree.

The most extensive part of the Bill relates to succession. A note by the Assam government highlights the provisions for devolution of the estate of a person who dies intestate — or without a legal will — saying that it "creates a uniform, gender-equal order of preference for intestate inheritance among Class-1 heirs, which equitably includes the spouse, children, and parents of the deceased".

Like in Uttarakhand and Gujarat, a critical part of the Bill relates to live-in relationships, requiring their registration within the state with an appointed sub-registrar. It even extends to "any resident(s) of Assam staying in a live-in relationship outside the territory of the state" to "the Sub-Registrar within whose jurisdiction such resident(s) ordinarily resides."

The proposed legislation says such a relationship will not be registered if the partners are "within the degrees of prohibited relationship", if either person is married or already in another live-in relationship, if either is a minor, or if "the consent of one of the partners was obtained by force, coercion, undue influence, misrepresentation or fraud as to any material fact or circumstance concerning the other partner, including her/his identity".

It proposes penalising those who stay in such a relationship for more than a month without submitting a statement to the sub-registrar, with imprisonment upon conviction for up to three months or a fine of up to Rs 10,000, or both. It proposes a greater penalty of up to six months' imprisonment and a fine of up to Rs 25,000 if the sub-registrar receives "a complaint or information" on an unregistered relationship, sends the couple a notice to submit a statement of their relationship, and they fail to do so.

It also seeks to require the submission of a "statement of termination in the prescribed format and in the prescribed manner to the Sub-Registrar" at the end of such a relationship, and enables a woman "deserted" by her live-in partner to claim maintenance. It says "any child of a live-in relationship shall be a legitimate child of the couple."

JAPAN'S MOTEGI, AUSTRALIA'S WONG REACH DELHI; FMs WILL ALSO MEET PM MODI

Energy, maritime security in focus, Quad meets today

Shubhajit Roy
New Delhi, May 25

THE FOREIGN ministers of the Quad grouping will meet on Tuesday and are expected to discuss critical minerals, maritime and energy security, sources told *The Indian Express*.

External Affairs Minister S Jaishankar will host Foreign Minister of Australia Penny Wong, Foreign Minister of Japan Toshimitsu Motegi and United States Secretary of State Marco Rubio for the meeting at Hyderabad House.

The Quad foreign ministers will also call on Prime Minister Narendra Modi.

Sources said the war in West Asia has impacted maritime security and energy security – that will be one of the challenges and concerns which will be discussed during the meeting.

Besides, the four maritime democracies are concerned at the impact of the closure of Strait of Hormuz, and how that will impact freedom of navigation across the chokepoints in the world, including in the Indo-Pacific. So, in that context, the ministers are expected to recommit to a free and open Indo-Pacific – at a time when China is observing the chokehold on the Strait of Hormuz and its impact.

This concern is significant since much of the movement of critical minerals and semiconductors are carried through maritime traffic and their disruption can cause supply-chain challenges in the world's race in the AI industry.

These issues are expected to be discussed by the ministers, who had last met in July 2025 in Washington DC – when Rubio had hosted the Quad foreign ministers as his first diplomatic engagement after assuming office in January last year. Both meetings were held in the US, hosted by Rubio.

The US Secretary of State is in India for a bilateral visit, and went on a sightseeing trip on Monday to Agra and Jaipur. He held bilateral talks with Jaishankar on Sunday.

Japanese Foreign Minister Motegi Toshimitsu and Australian Foreign Minister Penny Wong arrived in Delhi on Monday. While meeting Motegi, Jaishankar said, "India and Japan have a special strategic and global partnership and that signals that our ties have a larger implication, larger importance and larger impact." He also mentioned the upcoming Quad meeting and said they will discuss how to advance a free and open Indo-Pacific.

In the talks, the two sides deliberated on bilateral cooperation, global and regional issues, especially the West Asia crisis and its impact on energy supply chains.

Jaishankar suggested that both India and Japan are impacted by the conflict as both are energy importing and trading nations and have maritime interests.

Wong, who reached Delhi in the evening, said, "In these uncertain times, the Quad is a vital partnership – four nations working together to shape a peaceful, stable and prosperous future for the Indo-Pacific region. Together, Australia, India, Japan and the United States are delivering concrete outcomes on shared interests including maritime security, critical minerals supply, infrastructure development and disaster relief."

She will meet Jaishankar for the bilateral meeting on Tuesday evening, and said, "Australia and India's partnership has never been more consequential."

She added: "As Comprehensive Strategic Partners, Australia and India are deepening cooperation in trade and investment, defence and maritime security, climate and energy transition, strategic technology, and education and skills; with an enduring social connection at the heart of our partnership."

This meet will also pave the way for Quad leaders' summit later this year.

E. EXPLAINED

Clear signal of US commitment

US-CHINA engagement, led by President Donald Trump, has led to some concerns that Quad is not a priority. Rubio's attendance at the Quad foreign ministers' meeting is aimed at sending signals about US commitment. Ultimately, proof of the commitment will be on the outcomes and deliverables.

President confers 66 Padma Awards

Achievers and experts from various fields were honoured with the Padma Awards in the Capital on Monday. President Droupadi Murmu conferred two Padma Vibhushan, six Padma Bhushan and 58 Padma Shri awards. The event, held at Rashtrapati Bhavan, was attended by Vice-President C P Radhakrishnan, Prime Minister Narendra Modi and Home Minister Amit Shah, among others. Praising the awardees, PM Modi said India's strength lies in such remarkable individuals whose work "enriches our collective journey".

PHOTOS BY RENUKA PURI

President Droupadi Murmu confers Padma Vibhushan on classical musician and violinist N Rajam (Left); former Uttarakhand CM Bhagat Singh Koshyari receives Padma Bhushan at Rashtrapati Bhavan on Monday

Indian women's cricket team captain Harmanpreet Kaur receives Padma Shri

Actor Prosenjit Chatterjee being conferred with Padma Shri

Folk artist Dharmiklal Chunilal Pandya greets PM Narendra Modi and Home Minister Amit Shah as he arrives to receive Padma Shri

Kotak Mahindra Bank founder Uday Kotak receives Padma Bhushan from President Droupadi Murmu on Monday

Indian researchers solve an old puzzle – in chemistry

Amitabh Sinha
New Delhi, May 25

Prof Sundargopal Ghosh

RESEARCHERS AT IIT Madras and Indian Institute of Science, Bengaluru, have achieved a major chemistry breakthrough by synthesizing a new carbon-free molecule that copies the unusual 'sandwich' structure of the famous carbon-containing ferrocene molecule, solving a problem that had challenged scientists for over seven decades.

Ferrocene, discovered in the early 1950s, is a widely used compound in a variety of modern technologies, whose unique structure -- an iron atom 'sandwiched' between two large and flat carbon ringed-molecules -- has attracted a lot of scientific interest. It is used in medicines, batteries, advanced materials and electronics. For decades, scientists have tried to create similarly structured-molecules with elements other than carbon, but could not succeed.

Carbon has a special place in chemistry. There is a whole branch of chemistry, called organic chemistry, dedicated to study of carbon and its compounds. Carbon very efficiently combines itself and other elements to form very stable large and complex molecules. Scientists have been interested in finding whether the special structure of ferrocene was only because of the involvement of carbon rings, or could other elements also form similar sandwiched structures between themselves.

Scientists around the world had tried different combinations but a truly carbon-free molecule with a similar structure and stability could not be synthesized.

Now, a group of researchers at IIT Madras led by Sundargopal Ghosh and Stutee Mohapatra, in collaboration with Eluvathingal Jemmis of Indian Institute of Science, Bengaluru, has managed to do exactly that. They have designed a new molecule which has osmium at the centre instead of iron, sandwiched between two boron-based rings, instead of carbon rings. The structure is very similar to that of ferrocene but is entirely carbon-free.

The discovery has been reported in Science journal, one of the world's most prestigious scientific publications.

Right now, the discovery is being seen mainly as an academic breakthrough. Its potential applications are still being investigated.

"It is a fundamental breakthrough of great interest. It answers a question that scientists had been interested in for very long. It does open new possibilities for designing novel materials that can have special properties. Those possibilities are still being explored," Ghosh told *The Indian Express*.

Initial investigations have revealed that the new molecule is structurally stable, and the bonding between osmium and boron rings is very strong, which could make it potentially more robust than ferrocene.

• ECONOMY

Should RBI defend rupee, or let it find its own level

Many economists argue that letting the rupee slide further will help India's exporters. But that may exacerbate woes

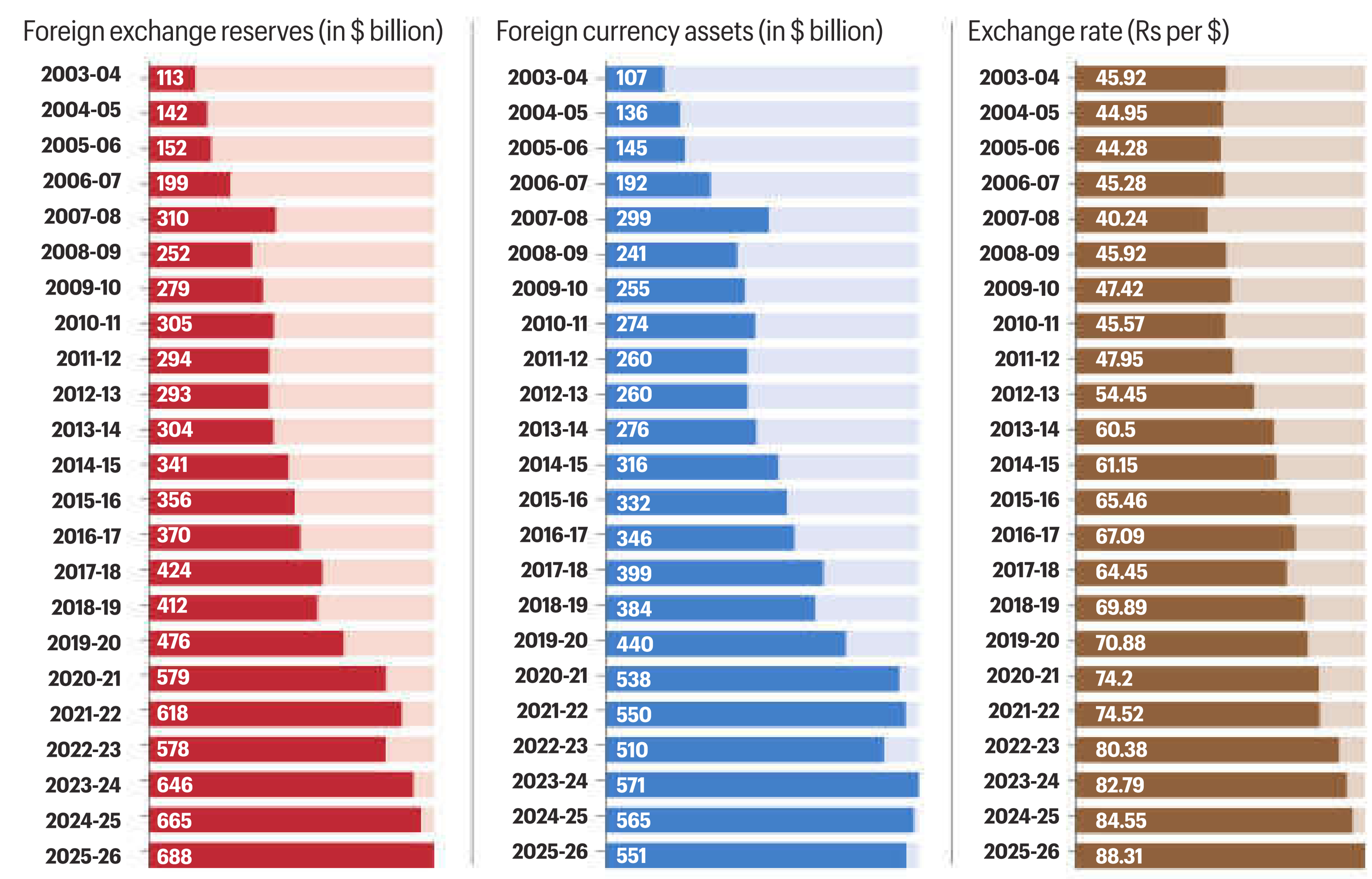
UDIT MISRA

THE SHARP slide in the rupee's exchange rate has stroked a debate on the Indian economy. The urgent policy decision before the government and the Reserve Bank of India (RBI) is whether to prevent the rupee from sliding further against the US dollar or to let it fall and find its true level.

The rupee's exchange rate against the US dollar basically changes depending on the relative demand for the two currencies in the foreign exchange (forex) markets. If Indians demand more dollars (either to buy foreign goods or to invest in other countries) than the rupees demanded by foreigners (either to buy Indian goods or to invest in India), the relative value (exchange rate) moves in favour of the dollar.

The worsening of the rupee's exchange rate is reflective of a weakness of the Indian economy.

Snapshot of India's forex and exchange rate movements



How can the rupee's exchange rate be artificially improved?

Indians can't hold dollars with them for regular use within the country: all dollars flow back to RBI. This can be employed by the central bank to artificially boost the rupee's exchange rate when needed.

The RBI can sell the dollars it has in the forex market, thereby increasing the supply. The central bank buys rupees in return for the dollars, thereby increasing the former's demand. This is referred to as the RBI defending the rupee.

How does the RBI decide when to defend?

The RBI's official policy line has always been that it does not target a certain level of rupee. Rather, the RBI's concern is that the movement in the rupee's exchange rate should be orderly. In other words, the RBI would intervene if it thinks the rupee is falling (or rising against any currency) too fast.

This makes sense, as the RBI is charged with maintaining financial stability in the economy. Imagine how difficult it would be for you as a consumer (say a student planning their graduate studies in the US) or a trader if the rupee's exchange rate changed dramatically every day.

Does defending the rupee work?

In the short term, it can work. The foreign currency reserves (the main constituent of India's total forex) have stayed roughly at the same level over the past six years as the RBI deployed more and more dollars from its kitty to defend the rupee.

There is a flip side too. Over the medium term, the RBI's strategy to sell all that forex is coming a cropper because eventually the rupee has fallen sharply.

Why can't the RBI defend the rupee like it did earlier?

There are two reasons.

First, policymakers like to have around 10 months of import cover — enough dollars to continue necessary imports for least 10 months. After the RBI hits a certain level of forex reserve, it has to take a pause and reconsider.

Secondly, and this is a less appreciated aspect and perhaps the biggest constraint that India and the RBI face when it comes to defending the rupee: the quality of India's forex.

Most of the forex with the RBI comes to India in the form of investments into the Indian economy, and not as money earned by selling to the rest of the world. As we have seen in the past few years, such money can be pulled out of India if investors take a dim view of growth prospects or if they like some other destination better.

Another way to look at this situation is that the forex the RBI holds is more a liability than an asset. For instance, China earns its forex through a trade surplus. The dollars it gets in return are an asset and cannot be pulled out by any investor. But in India, thanks to our continuing weakness in trade, India spends more dollars importing than it earns exporting.

'Defending' the rupee

The RBI can sell the dollars it holds in the forex market, thereby increasing their supply

•

It then buys rupees in return for the dollars, increasing the former's demand. This is called defending the rupee

Why not let the rupee find its level?

Mainstream economists regularly advocate this. They argue that a weaker rupee will help India's exporters. Similarly, as the rupee's exchange rate falls, all imports will become costlier and hence their demand will fall. The net result will be an elimination of the trade deficit (the gap between exports and imports).

Moreover, if the RBI allows the rupee's exchange rate to fall, then neither would the central bank have to draw down India's forex reserves, nor would the Prime Minister be forced to ask Indians to undertake austerity measures.

However, while this recommendation makes sense on paper, in India's case, there are many angularities that suggest that letting the rupee find its level could end up either not having any impact or, in the worst case scenario, exacerbate the slide.

Here are some reasons why.

• A large part of India's exports — some analysts estimate as high as 40% — are "re-exports". In other words, these exports are essentially based on imported goods. As such, a fall in the rupee's exchange rate makes the imports costlier for Indians just as they make the exports cheaper for foreigners. In other words, the effect cancels out.

• Also, in many export goods, India is a price-taker and not a price setter. Take, for example, most textile goods. India competes fiercely with other countries such as Bangladesh. India cannot set the price of their goods lest they be undercut by their Bangladeshi counterparts.

Imagine an Indian exporter selling a T-shirt for $1 when one dollar was worth Rs 50. Next season the exchange rate falls and becomes Rs 100 to a dollar. In such a case, the foreign buyer will likely force the Indian exporter to reduce the price to say $0.6 for a T-shirt, since this way the Indian exporter would still earn Rs 10 more than what he was earning before the exchange rate fell. The end result is that a falling rupee may not have boosted exports and export-earnings for Indians, as the argument goes in economic textbooks.

• There is a good chance that letting the rupee find its level, especially when it has just lost a lot of value, could further push down the exchange rate. In other words, depreciation can beget depreciation.

If an Indian importer looks at the rupee fast falling, they are likely to buy more and more dollars from the forex market because they expect the rupee to weaken in the coming weeks and months. But the more they buy dollars, the more the rupee weakens further.

An exactly different thing happens to Indian exporters albeit with the same result of exacerbating the rupee's fall. If the rupee has been falling, an exporter may defer accepting a payment because $100 a couple of months down the line will fetch more rupees. This dries up the supply of dollars that were otherwise scheduled to come into the market, thus further stoking the price of dollars.

Something similar happens on the capital account side — with reference to the movement of money for investment purposes, letting the rupee fall may disincentivise investments.

Suppose, the Indian stock markets give 10% returns in a particular year, but during the year, the rupee loses 5% of its exchange rate. This means an American investing in India would get only about 5% returns in dollar terms.

This would disincentivise future investments, especially if the foreign investors expect the rupee to slide further. In such a case, they may hold back fresh investments. But this, in turn, will further show up as a deficit in India's overall Balance of Payment and will further push down the rupee's exchange rate.

• EDUCATION

Why CBSE's digital evaluation method for Class 12 is facing flak

Abhinaya Harigovind
New Delhi, May 25

THE CENTRAL Board of Secondary Education (CBSE) is under fire for its new digital evaluation method, the On-Screen Marking (OSM) system, introduced for Class 12 board examinations this year.

Students who sought access to the scanned copies of their answer books have flagged blurred answer sheets and missing pages. The payment system also collapsed last week, deducting both additional payments and smaller amounts in many cases.

What is the OSM?

Over 98 lakh answer books belonging to over 18 lakh students were evaluated digitally for the first time.

All answer books were marked with a secret code. After they were moved from exam centres to regional offices, the copies were scanned and uploaded to a portal. Evaluators logged in and evaluated copies under a marking scheme prepared by a pool of CBSE teachers.

The examiner must mark each step and answer, and in case of misses, the marked answer book cannot be submitted, officials said. The system automatically calculates the total marks. Of the 98 lakh answer books, around 13,000 were found illegible and were evaluated manually.

What went wrong?

The results declared on May 13 showed that the pass percentage had dropped from 88.39% last year to 85.29%. The last time a lower pass percentage was recorded was in 2019 (at 83.40%). The number of students scoring over 90% has also dropped.

Parents and students raised concerns, linking the marks to the OSM system.

The board then announced last week that the prices for obtaining a scanned copy of the answer book, verification (checking the totalling of marks or unmarked answers) and re-evaluation (where specific answers are re-checked) fees would be reduced. The fee would be refunded if re-evaluation results in an increase in marks.

However, the portal to apply for copies has also faced glitches, and the initial deadline was extended multiple times till Monday. The board said that the portal faced "unprecedented traffic" and "several attempts of unauthorised interference".

Officials said that students with grievances should wait for the re-evaluation portal to go live and apply through it, but no date has been announced so far.

Demanding answers

• The board has received an unusually high number of requests for answer books.

• Officials told *The Indian Express* on May 23 that 2.94 lakh applications for 8.56 lakh answer books were received.

• This is more than twice the 1.31 lakh applications received last year for 2.82 lakh answer books.

What has the board said?

CBSE and the Education Ministry have defended OSM, arguing it eliminated totalling errors, and made the marking process standardised, objective, and transparent.

At a press briefing, CBSE Chairman Rahul Singh said that evaluation was earlier carried out in the same regions, but papers could now be sent elsewhere.

CBSE's Governing Body, its highest decision-making authority, approved OSM last year. Going by the minutes of the meeting, its "members suggested that the on-screen marking may be implemented in all subjects only after completion of pilot projects in some subjects across the various Regional Offices of the Board." The governing body had "noted the suggestion".

However, pilot projects were not conducted across regional offices. A dry run was conducted in five schools, where teachers from Kendriya Vidyalayas, Navodaya Vidyalayas, and state government and private schools were trained in the system. Based on recommendations from the three-day process, the system was updated.

To deal with the technical issues, IIT Kanpur and IIT Madras have now been roped in. Four public sector banks — Bank of India, Bank of Baroda, Canara Bank and Indian Bank — have also been tasked with assisting with the payment gateway. These steps have been taken on Education Minister Dharmendra Pradhan's directions.

THE INDIAN EXPRESS

The Editorial Page

TUESDAY, MAY 26, 2026

Dust is easiest to clean, time to do it is now

IT IS now well known that the particulate matter (PM) burden on Delhi's air — responsible for the city's chronic pollution crisis — is a toxic mix of multiple pollutants. Addressing it requires a multi-pronged approach that combines systemic overhauls with relatively simple interventions at the local government level. Controlling emissions from the transport, industrial and agricultural sectors involves complex solutions with significant implications for economic activity in the city and its surrounding regions. Dust pollution, in contrast, can be reduced through relatively less economically disruptive measures such as regular road sweeping, water sprinkling, covering construction sites, and maintaining roads and pavements. However, as an investigation by this newspaper shows, the city's limited dust-control infrastructure, especially its Mechanical Road Sweeping Machines (MRSM), remains severely underutilised. The persistent failure to implement such operationally straightforward measures raises serious questions about administrative intent.

In Delhi, dust pollution primarily originates from construction sites, demolition activities, roadside soil and the movement of heavy vehicles. It accounts for nearly 41 per cent of PM10 pollutants and 38 per cent of the finer PM2.5 particles during summer, when dry conditions increase dust levels in the city's air. Yet, as the investigation reveals, Delhi's MRSM fleet operates below capacity for much of the year, including during peak-pollution months, and its deployment remains confined to only a few parts of the capital. Coverage across municipal zones is uneven, with better-funded zones receiving more service than others. This skewed usage defeats the purpose of the machines. Dust does not respect administrative boundaries — when one zone is cleaned while another is neglected, particles circulate across the city because of traffic movement and shifting wind patterns.

For far too long, Delhi's authorities have treated the city's poor air quality as a seasonal problem, despite a wealth of studies highlighting heavy pollution year-round. Their failure to acknowledge the scale of the crisis prevents the city from deriving the maximum benefit from MRSMs. The fact that the deployment of these machines is concentrated in winter, when smog attracts public attention, shows that the authorities continue to adopt a reactive approach. Delhi needs a coordinated dust-management strategy involving civic bodies, the Public Works Department and pollution-control agencies. Real-time monitoring of MRSM deployment and performance audits could introduce much-needed transparency into the system. Indore's experience with these machines demonstrates that solutions to dust pollution are neither technologically complex nor financially prohibitive. Unlike geography or crop-residue burning, this is an aspect of pollution over which the Delhi government cannot claim helplessness. Like in its interventions on clean fuel, emission standards and protection of green belts, the Court should nudge Delhi's authorities.

Health indicators point to gains, and disparities

THE JUST-released Sample Registration System report for 2024 highlights a demographic transformation that is cause for both celebration and concern. The country's birth rate — the total number of live births per 1,000 people in a population — declined to 18.3 per 1,000 population in 2024, down from 21 in 2014. The Infant Mortality Rate (IMR) has also fallen steadily from 39 per 1,000 live births in 2014-2019 to 24 in 2024. These gains reflect decades of sustained public-health investment. Yet, the national averages conceal a deeper gulf between rural and urban areas, and between states: Chhattisgarh records the country's highest IMR at 36, with MP and UP at 35 each. Kerala, at the other end, stands at eight; Tamil Nadu, Delhi and Himachal Pradesh at 11. This gap between the best- and worst-performing states underlines persistent local failures.

The broader gains reflected in the data owe much to the cumulative impact of targeted interventions under the National Health Mission. These have expanded immunisation coverage, lowering preventable child deaths, and improved institutional deliveries. But the persistence of rural disadvantage suggests that public-health infrastructure has advanced unevenly, with poorer states and districts still struggling to catch up. The 2024 data places rural IMR at 27 deaths per 1,000 live births, compared with 17 in urban areas — a disparity that reflects enduring inequalities in healthcare access, awareness and maternal nutrition.

The fertility data, too, compounds this picture of two Indias. India's Total Fertility Rate (TFR) has remained flat at 1.9 for the fifth consecutive year, below the replacement level of 2.1. Delhi records the country's lowest TFR at 1.2, followed by Kerala, Tamil Nadu, and West Bengal at 1.3. But Bihar's TFR remains the highest at 2.9. The consequences of ignoring this are considerable. Nearly 10 per cent of India's population is now aged 60 and above, signalling that many of the economically advanced states are ageing rapidly. Read together, the data does not present a single India on the cusp of its demographic dividend, but two demographic realities moving at different speeds. Policymakers must resist the comfort of national averages to confront that divergent reality.

From Ghazipur, UP, to J&K: Healing drug addiction wound

AJAY SINGH

I KNEW his name before I knew what heroin could do to a person. He was from Ghazipur, one of the brightest students in our hostel at Banaras Hindu University. Sharp, funny, full of ambition. Then, gradually, he wasn't. The transformation crept in quietly, until one day it was complete. He was one of thousands around BHU who had been consumed by a trade that operated brazenly, with political protection and impunity.

Ghazipur is not incidental to this story. Amitav Ghosh chose it as the opening of his Opium War trilogy for good reason — this district in eastern Uttar Pradesh sat at the heart of a narcotics trade that reached from Myanmar to Indian cities. The Ghazipur syndicate, operating through the 1980s and 1990s, was linked to Khun Sa, then among the world's most powerful drug traffickers, based in Myanmar. The Narcotics Control Bureau and the Central Bureau of Narcotics launched sustained campaigns. The trade grew anyway. And then, as happens when a crisis grows too large to police, it became invisible, filed away as someone else's problem.

This is why, when Lieutenant Governor Manoj Sinha announced a campaign to eradicate drugs from the lives of young people in Jammu and Kashmir, I did not dismiss it as rhetoric. Sinha is from Ghazipur. He was a student leader at BHU during the years when the trade was at its most devastating. He has seen what a generation looks like when it is lost to addiction.

The drug problem in J&K is, in some ways, even more entrenched. The region borders the Golden Crescent — Pakistan, Afghanistan, and Iran — one of the world's largest opium-producing zones. Heroin and brown sugar are readily available. Pakistani supply networks have extended the reach of this trade into Punjab and Rajasthan as well.

The damage shows most clearly in Punjab. Visit the areas around educational institutions and you encounter stories that never make the news: Families who speak in whispers, parents who grieve privately, children who disappeared not to violence but to a slower, quieter ruin. The state has shown remarkable resilience — religious institutions in particular have stepped into the vacuum — but community resistance cannot substitute institutional commitment.

In J&K, the drug menace has been a festering wound for decades. Its connection to the financing of separatism has long been suspected; the reluctance of mainstream political parties to engage with the issue seriously has been, at best, a failure of courage and, at worst, something more troubling.

> Its connection to the financing of separatism has long been suspected; the reluctance of mainstream political parties to engage with the issue seriously has been, at best, a failure of courage

Sinha's campaign has drawn enthusiastic participation from local communities. This is significant. Public health crises of this nature require communities to believe change is possible, and to invest energy in it. But the deeper question is whether this energy can be institutionalised, and whether the example travels. In Ghazipur, in Varanasi, in the metros and tier-two cities where addiction statistics have climbed steadily, there is no comparable movement. Professional politicians have little appetite for this. It demands something more difficult than a rally — the patient work of rebuilding individual lives. That requires sustained funding, trained counsellors, family support systems, and a political class willing to treat addiction as a public health emergency rather than a moral failing. It requires, as someone once said of a different long struggle, not weeks or months but years of commitment without the guarantee of visible results.

Sinha has the background, the credibility, and apparently the resolve to see this through in J&K. The test will be whether what begins in the Valley can become a model for how political will, community participation, and institutional support can be brought together to fight a crisis hiding in plain sight. The students of Ghazipur, of BHU, of Punjab, of every city where this catastrophe is unfolding, deserve nothing less.

The writer is former press secretary to the President of India

Clearing Delhi's dust requires machines — and more

ANJAL PRAKASH

RAMPANT URBANISATION, poor infrastructure, and neglect have pushed Delhi towards an unprecedented air quality crisis. The struggle of night-time road-sweeping workers reveals how far we have to go. Every night, a fleet of mechanical road-sweeping machines travels through the streets, clearing dust from the roads of the capital. An investigation by *The Indian Express* ('Delhi's killer dust', May 25) has brought to light the challenges faced by these vehicles and their drivers in the battle for clean air.

Street-cleaning machines are countered by poor roads and unfinished construction projects. Many roads in Delhi are uneven, blocked or under construction, creating difficulties. During high-pollution seasons, dust accumulates quickly and gets churned up by passing vehicles. Workers have to constantly get out of the machine, clear debris manually, and direct the machine through blocked or congested routes. While Delhi continues expanding its Metro network and encouraging electric vehicles, these measures have not kept up with the needs of an ever-increasing population. Rapid urbanisation has increased vehicular traffic and construction activities, while natural ecosystems that once helped cleanse the air have been steadily lost. Pollution and construction regulations are ineffective or poorly applied.Strict building codes and periodic environmental controls are needed to prevent the impact of construction dust. Then, there are the workers who operate the machines at night, who have the arduous job of cleaning the streets. They have no special protective gear. Many suffer dizziness, struck by the consequences of toxic pollution that their city has been ignoring for years.

> Rapid urbanisation within the city has increased vehicular traffic and construction activities, while natural ecosystems that once helped cleanse the air have been steadily lost

Delhi must invest in better urban infrastructure. In addition to developing efficient public transport, there is an immediate need to construct better roads, drainage systems, and green belts. There is a need to instil a sense of responsibility among developers, businesses, and government agencies in terms of not only adhering to environmental laws but also adopting sustainable practices. Regular audits, disclosures, and public involvement in city planning can provide accountability and awareness about responsible and sustainable practices to protect air quality.

It's also time to galvanise communities in monitoring and advocacy for cleaner air. Innovative tools like a mobile app that tracks air quality will enable citizens to learn more and do more in their own lives. The battle against Delhi's air crisis cannot be won simply by deploying machines to sweep roads. What is required is a radical change in the ethos of urban development, investment in infrastructure and a refocussing of governance to protect the health and lives of people.

The writer is a professor of Public Policy at Flame University, Pune. He is a lead author of IPCC's Special Report on Climate Change and Cities

THE INDIAN EXPRESS

The Ideas Page

TUESDAY, MAY 26, 2026

Young must lead us to Viksit Bharat, Amrit Kaal is the era of hard work

C P RADHAKRISHNAN

WHEN I was a boy studying in Tiruppur, I had many dreams about our nation. Questions would constantly arise: When will Bharat regain its greatness? When will it rise as a powerful nation on the world stage? When will our poor and underprivileged sisters and brothers get a life of dignity? I am happy to see that the thoughts that I had in my teenage years are now becoming reality.

I would often remind myself of Swami Vivekananda's words: "Arise, awake, and stop not till the goal is reached." These words, proclaimed from the soil of Tamil Nadu, possess immense power to inspire patriotism and commitment. Over the past decade, I have been pleased to see our country functioning with tremendous vigour and determination. We now have the opportunity to witness the truth of Thiruvalluvar's words: "Those who are steadfast in their determination will achieve exactly what they have envisioned."

At a time when economic slowdown and uncertainties prevail across the globe, Bharat's economy is growing strongly. The enthusiasm of the government and the people to make this an era of sustained development is the reason for this progress. What is even more significant is that our economic development has been inclusive.

In the past 12 years, almost 25 crore Bharatvasis have come out of extreme poverty. So far, around 4 crore permanent houses have been built for the homeless. More than 12 crore people have been provided with piped drinking water connections. We aspired to become a nation free from open defecation and within 60 months, the country made this possible for 60 crore people. Under the Pradhan Mantri Garib Kalyan Yojana, 5 kg of food grains are being provided free of cost to 80 crore people every year.

I have seen, from a young age, people in villages suffering because they were unable to access medical facilities. Today, the nation is implementing the Ayushman Bharat scheme with a commitment to ensuring that healthcare is accessible to all. More than 44 crore people now have insurance cover of Rs 5 lakh; in the past year, 2.5 crore people received free treatment under this scheme.

ILLUSTRATION: C R SASIKUMAR

Our farmers produced 357 million tonnes of food grains in 2025, elevating Bharat to the position of second-largest food producer. It has also become the second-largest rice-producing country. Under the PM Kisan Samman Nidhi, over Rs 4 lakh crore has been directly transferred to farmers' accounts so far.

Opportunities are now open for our Nari Shakti to fully contribute to the nation's development. More than 3 crore women have become Lakhpati Didis and Namo Drone Didis. Women have come forward in every field, be it agriculture, education, medicine, science or space technology. Women are now getting permanent commissions in the armed forces and are taking part in combat roles. The Nari Shakti Vandan Adhiniyam will further enhance their participation in Parliament and state legislatures.

When we see the younger generation coming forward with enthusiasm for start-ups, it reminds us of the words of Subramania Bharati: "Come, come, come and accomplish what you have envisioned; Let the whole nation rise in unity and prosper; Come, come, come and achieve a great deed."

> We have set a goal that by 2047, Bharat should become a leading global power and reach a position of guiding the world. This era of hard work is the 'Amrit Kaal'

For the youth, seven new IITs have been established. The number of IIMs has increased to 21 from 13. The number of AIIMS has tripled to 23 from 7, and medical colleges have more than doubled to 823 from 387. The number of seats for medical students has increased from 51,348 to 1,29,603.

We are also advancing toward world-class standards in infrastructure. The railways have been electrified to almost 99 per cent. Across the country, 164 Vande Bharat Express trains have ushered in a new era. The number of airports has doubled to 163 from 74, and air travel has become accessible for ordinary people under UDAN. The railway budget allocation for Tamil Nadu, around Rs 880 crore in 2014, has increased to Rs 7,600 crore in 2026–27. The new Pamban Bridge between Rameswaram and Pamban is Bharat's first vertical lift bridge, creating opportunities for spiritual tourism and economic development. World-class four-lane and eight-lane roads, and road connectivity extending even to remote villages, have been developed. In Tamil Nadu, more than 4,000 km of national highways have been constructed since 2014. In the Northeast, national highways covering nearly 7,200 km have been constructed. These developments have been realised due to close monitoring by the Prime Minister under PRAGATI.

The pre- and post-matric scholarship schemes and Eklavya model residential schools have benefitted students belonging to Scheduled Castes and Scheduled Tribes respectively.

The border villages, once considered the last villages of Bharat, have now become the first villages and are being developed through the Vibrant Villages Scheme. I happily recall the Prime Minister referring to the northeastern states as the nation's Ashtalakshmi. Recently, when I visited Nagaland, Mizoram, Tripura, and Sikkim, I saw tremendous improvement in transport facilities as well as infrastructure.

The progress the country has achieved in science, technology and innovation fills us with pride. During the pandemic, Bharat ensured that vaccines were developed indigenously and made available free of cost to all at a rapid pace, and provided vaccines to more than 100 countries. The successful launch of Chandrayaan-3 has catapulted Bharat into an era of advanced space exploration. In AI, global companies are choosing Bharat as their hub. We have also secured the second position in mobile phone production globally.

For decades, our country has faced not only the challenges of terrorism but also insurgency and Left-Wing Extremism. Through bold policy decisions and the upholding of law, peace prevails in the nation, and the doors of development have been opened in these areas.

We have set a goal that by 2047, Bharat should become a leading global power and reach a position of guiding the world. This era of hard work is the *Amrit Kaal*. Just as the thirst for freedom existed in the heart of every freedom fighter, the thought of the nation's development should now grow in the minds of today's youth. The words of Swami Vivekananda, "Let us all work hard, my brethren; this is no time for sleep. On our work depends the coming of the India of the future," show us both inspiration and direction. Let us strive together to create a Viksit Bharat through our hard work.

The writer is the Vice President of India

Needed in Delhi: A change of personnel, not just policy reform

ARVIND SUBRAMANIAN

HENRY KISSINGER would mock the European Union's incapacity for collective decision-making by asking "whom should we call?" at a time of crisis. As the rupee plummets, and India confronts serious economic challenges, there is a similar sense of "who is in charge?" And the answer to that question, which must now be said, is: "Whoever they are (or not), change them."

Why is a change in personnel overdue? For a start, near-crisis moments require conveying a sense — creating a perception or narrative — that someone decisive is at the helm. The need of the hour is for a credible interlocutor with a clear message, like a Mario Draghi who said, "We will do whatever it takes."

Consider the two key centres of economic decision-making. From New Delhi, there is silence and drift, and from Mumbai there is a sense of events overwhelming the protagonists. Even the Prime Minister's exhortation to private sacrifice had the effect of raising the alarm but the long trip abroad that followed only reinforced the sense, at home, of a vacuum of decision-making and the absence of a clear agenda of follow-up actions.

There is, however, a more substantive reason for changing personnel across the board, which relates to what the government must stop doing as opposed to what more it must do. Consider this. The rupee crisis today is only partly related to the Iran war and the consequential shock to energy-dependent India. It reflects as much or more doubts about India's medium-term growth prospects. One supporting piece of evidence is that the rupee was the worst-performing amongst comparator emerging market countries even before the war.

In the two or three years preceding the war, no country with the exception of Turkey experienced as much of a currency decline, despite as much of an effort by the central bank to defend the currency. Between 2022 and February 2026, the rupee declined by over 20 per cent despite the RBI interventions in spot and forward markets, amounting to about 50 per cent of the stock of foreign assets.

The behaviour of the rupee has highlighted what the official numbers have obscured for some time — that investors are losing confidence in the Indian economy. They have, belatedly, recognised the message from one indicator that has been flashing red for some considerable time: Private corporate investment. This peaked at 17 per cent of GDP in the early 2000s and today is at half that amount. There was a brief post-Covid blip but that has faded. Weak private investment is the key problem for the Indian economy and reviving it is the critical challenge.

But how does this translate into a call to change personnel and not simply a call to policy "reform". The problem is that, to the government's credit, it has implemented several reforms recently aimed at reducing the costs of doing business.

It has cut and simplified the Goods and Services Tax (GST), rationalised and improved labour laws, liberalised foreign direct investment into more sectors (FDI), and above all, concluded a free trade agreement with the European Union and provisionally agreed to a trade deal with the United States. And it has two committees entrusted with deregulating the economy. The government can throw up its hands and legitimately plead, "What more can we do?" These reforms have, however, not reassured investors. The key distinction that hints at a resolution of the paradox — and explains weak private investment — is between actions taken by the government on paper that affect the costs of doing business and the deeper instincts of the government that affect the risks of doing business on the ground.

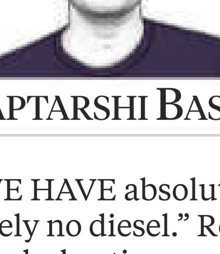
These instincts include: Tilting the regulatory playing field in favour of a few, large corporate houses at the expense of other investors, domestic and foreign; favouring BJP states over opposition-run ones in allocating resources and directing investment flows; weaponising the state's coercive apparatus to target political opponents and business; over-zealously and arbitrarily implementing tax laws, and undermining India's federal decision-making structures. They neither engender confidence nor trust.

Once could think of the call to policy reform as extending the "to do" list. In contrast, addressing the bad instincts problem is more like a "not to do" list. Changing personnel at ministerial, technocratic and bureaucratic levels is one — perhaps the only — way the government could signal a departure from these instincts and habits. The government must recruit fresh talent, prized for its quality, independence and new ideas, not loyalty and cheerleading. Officials must become more open and realistic about acknowledging the ongoing challenges.

Sameness of personnel and staleness of ideas are fatal for all political systems. Even politically dominant rulers must limit message-management and embrace churn. The truth is that this leopard has to change its spots or else the Indian economy will continue paying the price.

The writer is an Indian economist and the former chief economic advisor to the Government of India (2014-18). He is currently a senior fellow at the Peterson Institute for International Economics, Washington DC

Cuba and the quiet cruelty of US sanctions



SAPTARSHI BASAK

"WE HAVE absolutely no fuel oil, absolutely no diesel." Readers might assume this declaration came from an energy minister in an Asian nation crippled by supply disruptions caused by the conflict in Iran. But Cuba — a regime change target of the US since Fidel Castro took over in 1959 — does not depend on the Strait of Hormuz at all for its oil imports. Civilians have been enduring blackouts lasting up to 22 hours a day, while doctors are sometimes forced to manually pump ventilators to keep newborns alive. For more than four months, the country has received virtually no fuel because Venezuelan shipments have dried up entirely since January, when the US abducted Nicolás Maduro. Mexican shipments, too, have been suspended due to the threat of US tariffs. The US president has since said he hopes to have the "honour" of "taking Cuba" and doing "whatever I want" with it, expressing a rather naked imperial appetite, even as White House documents harp on about national security.

The damage caused by a sanctions-induced crisis is indirect, diffuse, and slow. Critical shortages of electricity, medicines, food, and fuel are not just consequences; human hardship is the very means to achieve the larger goal of regime change. The US has long used sanctions for its compellence strategies in the name of international governance, and, ironically, human rights. A recent *Lancet* study finds that unilateral sanctions imposed by the US and the EU since 1970 are associated with 38 million deaths across the world.

One of the most notorious cases is Iraq. Joy Gordon's *Invisible War* (2010) documents how the US blocked humanitarian goods from reaching Iraq — objecting to imports of antibiotics and vaccines while accusing the Iraqi government of failing to procure medicines. Other cases include Iran, North Korea, and, of course, Cuba. They are indeed repressive dictatorships that treat their own citizens miserably to consolidate power. But it is also true that much of their economic isolation stems from their refusal to buckle to the Western order. Which brings us to the other common aspect of sanctions: They do not work.

> Sanctions don't achieve intended goals, they increase repression, and they harm the wrong people

Iran, North Korea and Cuba have their regimes intact because sanctions have had the opposite effect. Robert Pape explains in 'Why Economic Sanctions Do Not Work' (1997) that they increase government repression and reduce the likelihood of bottom-up regime change. Defeating Maduro in Venezuela was ultimately a US military operation; sanctions did not weaken his power. In Iran, too, the Americans and the Israelis had to resort to military force, and three months into the ongoing conflict, Tehran is far from capitulating.

Not only do sanctions frequently fail to achieve regime change, but their costs are passed down by the targeted entities — which often have state backing — to the people. Matthias Neuenkirch and Florian Neumeier argue that US sanctions "indeed are affecting the wrong people" and that it is the people of the sanctioned state that bear the burden, "an outcome that appears especially unfair given that the regimes against which sanctions are directed typically lack democratic legitimation".

So, sanctions don't achieve intended goals, they increase repression, and they harm the wrong people. What is more remarkable than how consistently sanctions fail in the stated goal is how consistently they succeed in the unstated one: Making ordinary life in the target country unbearable. That is Cuba's reality right now.

The writer is deputy copy editor, The Indian Express. *saptarishi.basak@expressindia.com*

Tedros: Ebola toll 220, delay in detection worsened outbreak

Reuters
May 25

THE HEAD of the World Health Organization said on Monday that the fast-moving Ebola outbreak in Democratic Republic of Congo and Uganda was outpacing response efforts, giving the latest number of suspected deaths as 220.

Addressing an online meeting of the African Union about the outbreak, WHO Director-General Tedros Adhanom Ghebreyesus said a delay in detecting Ebola cases meant responders were now "playing catch-up" and the epidemic was likely to get worse before it gets better.

Tedros said he would travel to Congo, the epicentre of the outbreak, on Tuesday with another senior WHO official responsible for addressing health emergencies, Chikwe Ihekweazu.

Earlier on Monday neighbouring Uganda reported two more Ebola cases, taking its total number of confirmed cases to seven, and Tedros said other countries bordering Congo were at high risk and should take immediate action.

The WHO has declared the outbreak of the rare Bundibugyo strain of Ebola a public health emergency of international concern. Tedros said containing the fast-moving outbreak was complicated by the fact that Congo's Ituri and North Kivu provinces were highly insecure and there were no approved vaccines for Bundibugyo virus.

Doctors operating on the front lines of the fight against Ebola in Congo are also grappling with shortages of basic supplies.

Red Cross workers in PPE disinfect the grounds outside the house of an Ebola victim in Mongbwalu, DR Congo, on Monday. REUTERS

SURGE IN FUEL DEMAND IN SOME POCKETS LEADING TO DRY-OUT-LIKE SITUATIONS

Govt dials states to watch supply at OMC pumps, check hoarding

'Constraints in certain pockets are largely due to timely last-mile supply issues amid surging demand'

Sukalp Sharma
New Delhi, May 25

THE CENTRE has held discussions with all states and union territories (UTs) amid instances of panic buying of petrol and diesel and reports of localised supply constraints at public sector oil marketing companies' (OMCs) retail outlets in some pockets, a senior petroleum ministry official said on Monday.

In view of the situation, state governments and UT administrations have been asked to closely monitor the situation on a regular basis as well as check any hoarding or mismanagement of fuel stocks, according to Petroleum Ministry Joint Secretary Sujata Sharma.

"A VC (video conference) has been done with all states and union territories on the issue. Discussions have been held and state governments and union territories have been requested to monitor the situation. At the level of the OMCs as well as the (petroleum) ministry, all retail outlets and the fuel supply situation are being monitored closely so that if there are any intermittent dry-outs anywhere, they can be addressed immediately by quickly replenishing petrol and diesel stocks at retail outlets," Sharma told reporters.

"If there is any hoarding or mismanagement in any part of the country, we would need the state government's support to deal with that. This was also one of the specific points raised in the VC," Sharma said, adding that overall, there are adequate stocks of petrol and diesel in the country and the constraints being seen in certain pockets are largely due to timely last-mile supply issues amid surging demand. Fuel demand, particularly that of diesel, is seeing a jump in certain pockets as a large number of bulk fuel consumers have shifted to OMCs' retail outlets due to a wide price gap between retail prices — still below market rates — and the market-linked bulk prices, as per the Centre.

• OMCs' RETAIL NETWORK UNDER PRESSURE

FUEL DEMAND, particularly of diesel, is seeing a jump in certain pockets as a large number of bulk fuel consumers have shifted to public sector OMCs' retail outlets

THE MOVE is driven by a wide price gap between retail prices — which are still below market rates — and the market-linked bulk prices

WITH CERTAIN private sector fuel retailers selling at higher prices than the OMCs, the latter is seeing additional pressure in its retail network as consumers are preferring to buy from them

While retail pumps usually sell fuel to two-wheelers and cars, bulk and commercial buyers like state road transport corporation buses, truckers, and diesel-powered telecom towers are supposed to get theirs from designated points.

On top of that, certain private sector fuel retailers are retailing at higher prices than the OMCs, leading to additional pressure on the latter's network as consumers are preferring to buy from them. Higher fuel demand due to the crop harvesting season has also led to additional demand pressure. While fuel production and supply at the national level is stable and adequate, these factors are leading to regional imbalances and last-mile logistical challenges for the OMCs to maintain 24x7 supplies, particularly in tier-II and tier-III cities, and rural and remote areas, said industry executives. Consequently, the OMCs' retail outlets in some areas are running out of fuel stocks faster than usual, leading to dry-out-like situations.

Industry sources said the problem gets amplified when a supply constraint at one retail outlet leads to rumours of shortage in the area, and consumers start panic-buying from other outlets as well. The Centre said panic buying is being observed in parts of Gujarat, Maharashtra, and Uttar Pradesh. The visible migration of a large number of bulk consumers to OMCs' retail stations, combined with higher agricultural season fuel demand, has led to a demand growth of 20% to 30% in some localised areas. The price difference between diesel for bulk sales and that available at petrol pumps is about Rs 40 per litre.

"A retail outlet usually has two-three days of stock, but (what) if they suddenly see 20-30% increase in demand... it is not that the depots and terminals that supply to retail outlets don't have sufficient stocks. Last mile logistics sometimes give a bit of a difficulty. To manage that, the entire fuel retail network is being monitored daily and efforts are being made to replenish stocks in the minimum amount of time," Sharma said.

Amid the global oil and fuel price surge due to the West Asia crisis, only a part of the higher price has been passed on for the retail petrol and diesel sales in India by the OMCs. The hikes have been much higher in the bulk and industrial segments.

FULL REPORT ON WWW.INDIANEXPRESS.COM